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[TENTATIVE] ORDER GRANTING DEFENDANTS' MOTION TO COMPEL ARBITRATION

I. INTRODUCTION

Plaintiff Carlos Moreno ("Moreno") and Plaintiffs Paul Haneishi and Brandon Romero (collectively, "Plaintiffs") bring this representative action under the Private Attorneys General Act ("PAGA") against Defendants Specialty Restaurants Corporation, Verdugo Restaurant Corporation, and Orange Hill Restaurant Corporation (collectively, "Defendants"), alleging Labor Code violations arising from their employment.

On March 26, 2026, Defendants filed the instant motion seeking to compel arbitration of Plaintiffs Haneishi's and Romero's individual PAGA claims based on arbitration agreements they allegedly executed during the onboarding process and to stay the remaining representative PAGA claims pending arbitration. Plaintiffs filed an opposition on June 25, 2026, and Defendants filed a reply on July 1, 2026.

Evidentiary objection

The Court OVERRULES evidentiary objections in their entirety.

II. LEGAL STANDARD

Code Civ. Proc. §1281 provides: "A written agreement to submit to arbitration an existing controversy or a controversy thereafter existing is valid, enforceable, and irrevocable, save upon such grounds as exist for the revocation of any contract."

Code Civ. Proc. §1281.2 provides that upon petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate and a party's refusal to submit to arbitration, the court shall order the parties to arbitrate the controversy if it determines that an agreement exists, unless it determines that the right to arbitrate has been waived, that grounds exist for revocation, or that a party to the agreement is also party to a pending litigation arising out of the same facts and there exists a possibility of conflicting rulings on a common issue of fact or law. In such a situation, the court may (1) refuse to enforce the arbitration agreement and order intervention or joinder of all parties in a single action, (2) order intervention or joinder as to all or only certain issues, (3) order arbitration among the parties who have agreed to arbitration and stay the action pending outcome of arbitration, or (4) stay arbitration pending outcome of the litigation.

California Rules of Court, rule 3.1330 provides, “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.”

Written arbitration clauses in contracts evidencing a transaction involving commerce are valid, irrevocable, and enforceable, except where grounds exist at law or in equity for revocation of any contract. 9 U.S.C. §2. This is a reflection of a liberal policy favoring arbitration and the principle that arbitration is a matter of contract. *AT&T Mobility, LLC v. Concepcion* (2011) 563 U.S. 333, 339.

The “involving” requirement is to be interpreted broadly. *Allied-Bruce Terminix Companies v. Dobson* (1995) 513 U.S. 265, 274.

III. ANALYSIS

A. The Existence of a Written Agreement to Arbitrate is Established

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.) “With respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th 1152, 1160.)

Here, Defendants submit copies of arbitration agreements electronically executed by Plaintiff Paul Haneishi on November 17, 2022, and Plaintiff Brandon Romero on August 1, 2022. (Insichienmay Decl., ¶¶ 13, 16, Exhs. B, D.) Defendants also submit a declaration explaining that employees complete onboarding through the UKG platform, where they are required to review and electronically sign the arbitration agreement before beginning employment using secure, individualized login credentials. (Insichienmay Decl., ¶¶ 8-10.) Defendants further attest that the executed agreements were maintained in each employee’s personnel file. (Insichienmay Decl., ¶¶ 13, 16.)

Notably, in their opposition, Plaintiffs Haneishi and Romero do not dispute the existence of the arbitration agreements or challenge the authenticity of the electronic signatures appearing on those agreements. Rather, Plaintiffs oppose enforcement on the grounds of waiver and unconscionability.

Thus, the Court finds that Defendants have met their burden of establishing the existence of valid written arbitration agreements with Plaintiffs Haneishi and Romero.

B. Applicability of the Federal Arbitration Act (FAA)

“A party seeking to enforce an arbitration agreement has the burden of showing FAA preemption.” (*Lane v. Francis Capital Mgmt. LLC* (2014) 224 Cal.App.4th 676, 684.) California law provides that parties may expressly designate that any arbitration proceeding should move forward under the FAA’s procedural provisions rather than under state procedural law. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal. 4th 376, 394). Otherwise, the FAA provides for enforcement of arbitration provisions in any “contract evidencing a transaction involving commerce.” (9 USC § 2.)” (*Allied-Bruce Terminix Companies, Inc. v. Dobson* (1995) 513 U.S. 265, 277.) Accordingly, “[t]he party asserting the FAA bears the burden to show it applies by presenting evidence establishing the contract with the arbitration provision has a substantial relationship to interstate commerce[.]” (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 234.) Moreover, as noted above, the California contract law applies to the validity of the arbitration agreement. (*Winter, supra*, 166 Cal.App.4th at p. 947.)

Here, Defendants submit evidence that Specialty Restaurants Corporation operates restaurants through subsidiaries in multiple states, including California, Florida, New York, and Ohio; purchases goods from out-of-state vendors; utilizes interstate banking, communication networks, and the United States mail in conducting its business; and serves customers both within and outside California. (Insichienmay Decl., ¶ 3.) Defendants further submit copies of the arbitration agreements, each of which expressly provides that "Any arbitration proceeding under this agreement shall proceed under and be governed by the Federal Arbitration Act ('FAA') because both I and the Company are engaged in interstate commerce." (Insichienmay Decl., Exhs. B, D.)

Thus, the FAA applies and will preempt California law where any conflict arises.

C. Enforceability of The Agreement

"Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges." (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

Plaintiffs contend the agreements are unenforceable because Defendants waived their right to compel arbitration and because the agreements are procedurally and substantively unconscionable. Plaintiffs further argue that any unconscionable provisions cannot be severed and that the agreements are unenforceable in their entirety.

The Court addresses each in turn.

Waiver

Waiver occurs "when the party seeking to enforce a known contractual right has intentionally relinquished or abandoned that right." (Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562, 569.) "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (Id. at p. 584.) "The waiver inquiry is exclusively focused on the waiving party's words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant." (Id. at p. 585.)

Here, Plaintiffs argue Defendants waived their right to compel arbitration by litigating this action for nearly two years before filing the instant motion. Plaintiffs contend Defendants engaged in discovery, filed demurrers and answers, participated in case management, and did not seek arbitration until after the Court overruled Verdugo's demurrer. (Opposition, pp. 9–11.) Plaintiffs further argue that Defendants waived arbitration by failing to seek arbitration against the original representative plaintiff, Carlos Moreno, and cannot avoid that waiver by relying on the later addition of Haneishi, Romero, Verdugo, and Orange Hill because all Defendants operate as a single corporate enterprise with a shared human resources department and centralized onboarding process. (Opposition, pp. 8-11.)

In reply, Defendants argue Plaintiffs cannot establish waiver by clear and convincing evidence. Specifically, Defendants contend they moved to compel arbitration at the first procedural opportunity after Haneishi and Romero became parties to the action and consistently preserved their arbitration rights by asserting arbitration as an affirmative defense and promptly initiating meet-and-confer efforts regarding arbitration. Defendants further argue that any delay resulted from Plaintiffs' own pleading decisions and that waiver must be analyzed on an entity-by-entity basis, not by imputing one defendant's litigation conduct to separately served corporate affiliates. (Reply, pp. 3-5.)

The Court finds Plaintiffs have not met their burden of establishing waiver by clear and convincing evidence. A party resisting arbitration on the ground of waiver bears a "heavy burden," and any doubts concerning waiver should be resolved in favor of

arbitration. (St. Agnes Medical Center v. PacifiCare of California (2003) 31 Cal.4th 1187, 1195.) Moreover, merely participating in litigation, standing alone, does not constitute waiver. (Id. at p. 1203.) Nor is delay alone sufficient. (Khalatian v. Prime Time Shuttle, Inc. (2015) 237 Cal.App.4th 651, 663; Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348, 376.)

As an initial matter, the instant motion seeks to compel arbitration only as to Plaintiffs Haneishi and Romero. It does not seek to compel arbitration as to Plaintiff Carlos Moreno. Therefore, Plaintiffs' arguments concerning Defendants' failure to seek arbitration as to Moreno are not directly relevant to the issue presently before the Court.

Next, with respect to Haneishi and Romero, the record does not demonstrate that Defendants acted inconsistently with an intent to arbitrate, unreasonably delayed in seeking arbitration, or otherwise acted in bad faith. (See Adolph v. Coastal Auto Sales, Inc. (2010) 184 Cal.App.4th 1443, 1450.) Haneishi and Romero were added as plaintiffs in the First Amended Complaint filed on November 20, 2025. Defendants thereafter asserted arbitration as an affirmative defense, initiated meet-and-confer efforts regarding arbitration following the Court's ruling on Verdugo's demurrer, and filed the instant motion after the parties were unable to reach a stipulation. (See Kim Decl., ¶ 9, 10-12, Exh. E and F.) The Court finds that under the totality of the circumstances, Plaintiffs have not established that Defendants waived their right to compel arbitration.

Unconscionability

California courts analyze unconscionability as having a procedural and a substantive element." (Kinney v. United Healthcare Services, Inc. (1999) 70 Cal.App.4th 1329.) "[B]oth elements must be present before a contract or contract provision is rendered unenforceable on grounds of unconscionability." (Id.) The doctrine of unconscionability refers to "an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party." (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1133.) It consists of procedural and substantive components, "the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (Ibid.) Although both components of unconscionability must be present to invalidate an arbitration agreement, they need not be present in the same degree. (Armendariz v. Found Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 114.) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. [Citations.] In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Ibid.) "The party resisting arbitration bears the burden of proving unconscionability." (Pinnacle Museum Tower Assn. v. Pinnacle Market Dev. (US), LLC (2012) 55 Cal.4th 223, 247.)

Plaintiffs argue that the arbitration agreements are both procedurally and substantively unconscionable. (Opposition, p. 11.)

A. Procedural Unconscionability

"Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on factors of oppression and surprise." (Id.) "Surprise differs from oppression. Surprise is when a prolix printed form conceals the arbitration provision. Oppression, on the other hand, occurs when there is a lack of negotiation and meaningful choice. The presence of surprise or oppression requires higher scrutiny of the contract." (Torrecillas v. Fitness International, LLC (2020) 52 Cal.App.5th 485, 493.)

"Adhesion contracts are form contracts a party with superior bargaining power offers on a take-it-or-leave-it basis." (Torrecillas, supra, 52 Cal.App.5th at p.493.) "Whether the agreement was or was not a contract of adhesion is not the core question. Rather, from the standpoint of determining whether there was procedural unconscionability, the core issues are surprise and oppression." (Ibid.) In the absence of "surprise or other sharp practices", Courts do not recognize that "adhesive" arbitration agreements establish a high degree of procedural unconscionability. (Baltazar v. Forever 21 Inc. (2016) 62 Cal.4th 1237, 1246.)

Here, Plaintiffs argue the arbitration agreements are procedurally unconscionable because they are adhesive contracts of employment presented on a take-it-or-leave-it basis. Plaintiffs further contend the onboarding process was oppressive because employees were required to execute the agreements through Defendants' UKG platform as a condition of employment, without any explanation of the agreements' legal significance or opportunity to negotiate their terms. Finally, Plaintiffs argue the agreements contain an element of surprise because they incorporate the California Arbitration Act by reference without attaching or providing the applicable statutory provisions. (Opposition, pp. 12-15.)

In reply, Defendants argue the agreements exhibit, at most, a minimal degree of procedural unconscionability. Defendants contend the agreements were not adhesive because employees were presented with the option to either agree or decline arbitration, the agreement was a standalone document that had to be reviewed before it could be signed, and Plaintiffs have failed to establish surprise. (Reply, pp. 5-6.)

The Court finds that the arbitration agreements exhibit a minimal degree of procedural unconscionability. Plaintiffs contend the agreements were presented on a take-it-or-leave-it basis as a condition of employment, that the onboarding process was oppressive, and that the agreements created surprise by incorporating the California Arbitration Act without attaching the applicable statutory provisions. Even assuming these assertions are true, they establish only a modest degree of procedural unconscionability. (*Torrecillas v. Fitness International, LLC* (2020) 52 Cal.App.5th 485, 493; *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1246.) Further, the failure to attach arbitration rules, standing alone, is insufficient to establish unconscionability, and Plaintiffs have not shown resulting prejudice. (*Peng v. First Republic Bank* (2013) 219 Cal.App.5th 1462, 1469-1472.)

B. Substantive Unconscionability

Plaintiffs contend the arbitration agreements are substantively unconscionable for three reasons: (1) the agreements improperly waive Plaintiffs' representative PAGA standing; (2) the agreements lack mutuality by extending the arbitration provisions to Defendants' parent companies and affiliated entities without a corresponding reciprocal obligation; and (3) the agreements improperly delay Defendants' obligation to pay arbitration fees until 60 days before the arbitration hearing. (Opposition, pp. 15-19.)

PAGA Standing:

First, Plaintiffs argue the agreements improperly waive their right to pursue representative PAGA claims. Plaintiffs challenge two provisions of the agreements. The first provides that any PAGA claim must be pursued only in the employee's individual capacity in arbitration and that, upon execution of the agreement, the employee lacks standing to pursue or act as a representative for any non-individual PAGA claims in court. (*Insichienmay Decl.*, Exh. B, ¶ 5.) The second provides that the employee waives the right to bring any class, collective, representative, or PAGA claim seeking relief on behalf of others, unless such a waiver is prohibited by controlling law. (*Id.*, ¶ 1.) Plaintiffs contend these provisions are substantively unconscionable because they purport to eliminate a statutory right to pursue representative PAGA claims that cannot be categorically waived. (Opposition, pp. 16-17.)

In reply, Defendants contend Plaintiffs' challenge to the representative PAGA provisions is resolved by *Viking River*. Defendants argue that, even if the representative PAGA waiver is unenforceable, the proper remedy is to sever that provision and enforce the remainder of the arbitration agreement as to Plaintiffs' individual PAGA claims. Defendants further contend the agreements expressly preserve Plaintiffs' ability to pursue individual PAGA claims in arbitration and contain an express severability clause. (Reply, pp. 8-9.)

Plaintiffs argue the agreements improperly waive their statutory right to pursue representative PAGA claims. Even assuming the challenged provisions are unenforceable under *Adolph*, *Viking River* provides that the appropriate remedy is to sever the offending language and enforce the agreement as to individual PAGA claims. (*Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662.) Because the agreements contain an express severability clause, the challenged provisions do not render the agreements unenforceable in their entirety.

Mutuality:

Next, Plaintiffs argue the agreements lack mutuality by extending the arbitration provisions to Defendants' parent companies and affiliated entities without imposing a corresponding obligation on those entities. Plaintiffs specifically challenge paragraph 3 of the agreements, contending it grants affiliated entities the benefit of arbitration without a reciprocal obligation. (Opposition, pp. 17-18.)

In reply, Defendants argue the agreements do not lack mutuality. Defendants contend the inclusion of parent companies, subsidiaries, and affiliated entities reflects a legitimate business justification because Specialty operates through wholly owned subsidiaries and employees, including Plaintiffs here, frequently allege joint-employer liability against multiple related entities. Defendants further argue the agreements bind both employees and Defendants to arbitrate employment-related claims, contain no one-sided carveouts favoring the employer, and are therefore distinguishable from Ramirez. (Reply, pp. 7-8.)

The Court is not persuaded that paragraph 3 lacks mutuality. Although one-sided arbitration provisions are presumptively unconscionable absent a legitimate business justification, the record reflects that Defendants operate through related corporate entities and Plaintiffs themselves allege those entities acted as joint employers. Even assuming paragraph 3 extends the arbitration agreement to Defendants' parent companies and affiliated entities, the agreements require both parties to arbitrate employment-related disputes. Plaintiffs have not shown that the provision is so one-sided as to render the agreements substantively unconscionable.

Fee Delay

Finally, Plaintiffs argue the agreements' fee-payment provision is substantively unconscionable. Plaintiffs challenge the provision stating that Defendants are not responsible for paying the arbitrator's fees and costs until 60 days before the arbitration hearing. (Insichienmay Decl., Exh. B, ¶ 4.) Plaintiffs contend this delay creates uncertainty during the initiation and case-management stages of arbitration, produces a chilling effect on the exercise of statutory rights, and effectively delays access to the arbitral forum in violation of Armendariz. (Opposition, pp. 18-19.)

In reply, Defendants argue the provision governs only the timing of payment, not the allocation of arbitration costs. Defendants contend the agreements expressly require the Company to pay the arbitrator's fees and other arbitration forum costs, employees incur no greater costs than they would in court, and, in any event, the timing provision is severable. (Reply, p. 8.)

The Court agrees with Defendants. The challenged provision concerns only the timing of payment and does not shift arbitration costs to Plaintiffs. Plaintiffs have not shown that the provision prevents access to arbitration or imposes costs beyond those permitted under Armendariz. The Court therefore finds the provision is not substantively unconscionable.

Severability

Civil Code section 1670.5 provides that "[i]f the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code, § 1670.5(a).) The strong preference is to sever unconscionable terms rather than preclude the enforcement of arbitration agreement. (Magno v. College Network, Inc. (2016) 1 Cal.App.5th 277, 292.

The Court finds the arbitration agreements are not unconscionable. Even assuming the representative PAGA standing provision were unenforceable, it is a discrete provision that may be severed pursuant to the agreements' express severability clause, which provides that "[i]f any term or provision or any portion of this Agreement is deemed invalid or unenforceable, it

shall be severed, and the remainder of this Agreement shall be enforceable." (Insichienmay Decl., Exhs. B, D.) Plaintiffs have not shown that the agreements are so permeated with unconscionability as to warrant refusing enforcement of the agreements as a whole.

Based on the foregoing, Defendants Motion to Compel Arbitration is GRANTED.

IV. CONCLUSION AND ORDER

Defendants petition to compel arbitration is GRANTED.

The action is STAYED pending results of the arbitration.

Defendants are to give notice.

Dated: July 9, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT